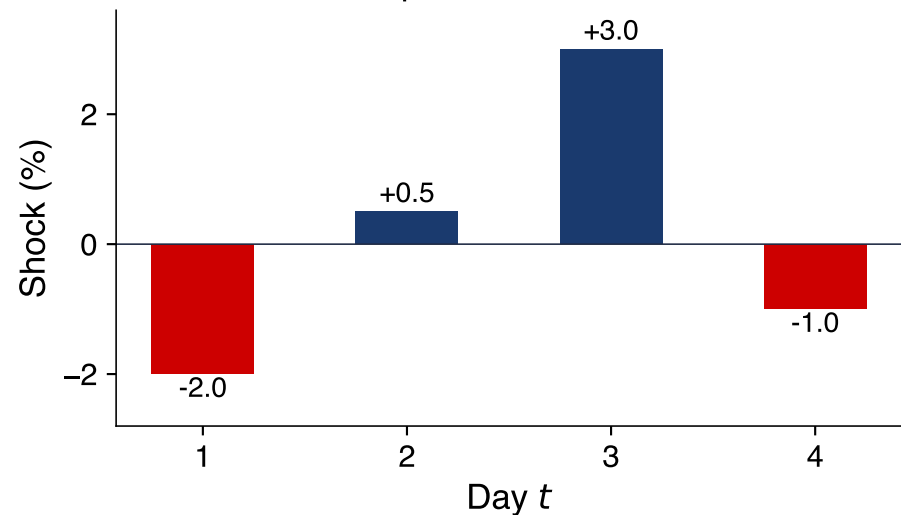
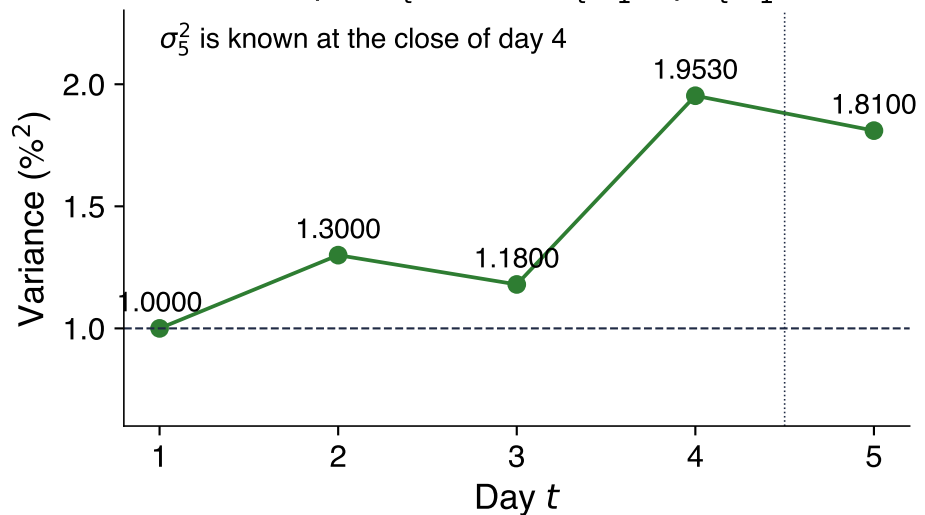


Input: four shocks

Output: $\sigma_t^2 = \omega + \alpha \varepsilon_{t-1}^2 + \beta \sigma_{t-1}^2$ 

■ Negative shock ε_t ■ Positive shock ε_t ● Filtered variance σ_t^2 - - - Long-run variance $\bar{\sigma}^2 = 1$